2. MISAPPROPRIATION OF GOODS

Fraud which takes places in respect of goods is Misappropriation of Goods. Such a type of fraud is difficult to detect and usually takes place where the goods are less bulky and are of high value.

- By showing less amount of purchase than actual purchase in the books of accounts.
- By showing issue of material more than actual issue made.
- By showing good materials as obsolete or poor line of goods.
- By showing fictitious entries in the books of accounts.

Example – 1: Goods purchased amounting to ₹58,000 is wrongly accounted in Purchases Book as ₹50,000. Hence, showing less amount of purchases than the actual and misappropriating goods worth ₹8,000.

Example – 2: Goods issued from stores for 1000 units is wrongly accounted in the Ledger accounts as 3000 units issued. The difference of 2000 units may be misappropriated by the storeskeeper.

Example – 3: Entries in the Purchases Book may be suppressed or inflated to show more or less profit.

Detection of Misappropriation of goods is a difficult task for an Auditor. Only through efficient system of inventory control, periodical stock verification, internal check system and adequate security arrangement the scope for such frauds can be eliminated or minimized. Auditor has to thoroughly scrutinize the inward and outward registers, invoices, sales memos, audit notes, etc., to detect the goods-related frauds.

3. MANIPULATION OF ACCOUNTS

There is a very common practice almost in every organization, some dishonest employees have intention to commit this type of fraud. Manipulation of accounts is the procedure to alter books of accounts in such a way that there will be an increase or decrease in the amount of profit to achieve some personal objectives of the high officials. It is very difficult for the auditors to identify such frauds which may be due to manipulation of accounts.

Causes of Manipulation of Accounts

There are different reasons for manipulation of accounts. The reasons are:

- To get more commission calculated on profit
- For evasion of income tax and sales tax
- To get huge loan from financial institutions by showing more profit in the books of accounts.
- To declare more dividend to the shareholders.
- By showing more profit than actual to get confidence of the shareholders.
- To make secret reserves by showing less income or by showing more expenses in the books of accounts.

STUDENTS ACTIVITY

Collect any one company's details which involved in accounting frauds identified through auditing.

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